

Why did Swiggy work and others failed?

Food tech companies across the globe were struggling in late 2013. This was when Swiggy came up in Bangalore and changed the industry. The difference was to build an own logistic network rather than outsourcing it. Here is the customers profile, which explains why own logistics network of Swiggy succeeded.

Pains of Customer	Old Business Model	Swiggy Model	Gains Required by Customer	Old Business Model	Swiggy Model
Heavy Delivery Charges	✗	✓	Free Food Delivered	✓	✓
Slow and unreliable delivery	✗	✓	Multiple Cuisines to choose from	✓	✓
Lack of Standard Delivery across cities	✓	✓	Single window food and delivery order	✗	✓
Overcharged on Food Delivery	✓	✓	Discount Offers on food	✗	✓

* Pains and gains are in order of significance.



- Pain relieved or gain created



- Pain not relieved or gain not created

Earlier food tech companies in India were pure marketplaces where they received orders and passed onto restaurants. Logistics was left either to the restaurant itself or was done by third party players. This would lead to the customer paying a high delivery fee and non-standardised delivery.

Swiggy, followed by Zomato are Indian startups which entered food delivery business in 2013 and 2015 respectively. They tied up with restaurants and gave them orders that they received. However, their own logistics network and own delivery personnel sets them apart from others. This allowed them a PAN India standardised food delivery. Also, they have extended a lot of discounts and deals that got customer into the habit of ordering food online. The standard delivery mechanism and discount deals is what got Swiggy and Zomato to create a stronger value proposition to the customers.